name, which has been functioning in the Yojana Bhavan since the mid-1970s (***Planning Commission has 25 Divisions today***).

## 2. Failure in Promoting a Balanced Growth and Development

Indian planning is blamed for failing the objective of a regionally balanced growth and development. Though the Second Plan itself had noticed this fact, the measures taken were not sufficient or were short-sighted. Economic planning at the national level has proved to be a highly effective tool of promoting balanced growth. But in the Indian case it turned out to be the opposite.

To take care of the issue of balanced growth, the planning process has been using the right tools, i.e. allocating plan funds on a sectoral (primary, secondary and federal reasons) basis. But due to political reasons, enough discrepancies cropped up in the method of allocating funds to the states. At the theoretical level, the Governments knew the remedies but at practical levels politics dominated the planning process. Democratic immaturity and politicisation of the planning process is to be blamed for this.

Now things have changed for the better. The Government is following a two-pronged strategy to achieve the objective of a balanced growth and development in the country:

(i) Backward regions today are prioritised in directing the Central Government investment (very much same since the 1950s) but a new beginning in the ‘differential development strategy’ has been made by the centre with the Tenth Plan. Under this strategy, the development constraints of the different states are to be tackled with a differentiation in the strategy. The more needy states get more funds and assistance from the centre for their planned development, cutting across the political party lines (it is seen today as a symbol of political maturity on the issues of economic development, at least).

(ii) There is also a complementary strategy of the planning to address the matter of regional imbalance in the country. After the country started the process of economic reforms, the nature of planning was to incline more and more towards indicative planning. The economy